

MOD 4 – GST

1. Constitutional Framework Before GST

- **Pre-GST system (before 1 July 2017):**

- Complex indirect tax structure; multiple taxes by Centre & States.
- Led to cascading effect (“tax on tax”).

- **Centre’s Tax Powers (Before GST):**

- Central Excise (tax on manufacture).
- Customs duty (imports/exports).
- Service tax (on services).

- **States’ Tax Powers (Before GST):**

- State VAT/Sales Tax (on sale of goods).
- Entry tax / Octroi.
- Purchase tax.
- Luxury tax, Entertainment tax.

- **Constitutional Basis:**

- **Article 246:** Division of powers.
 - **List I (Union List):** Centre’s taxing powers.
 - **List II (State List):** States’ taxing powers.
 - **List III (Concurrent List):** Shared powers.
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2. Concept of VAT (Value Added Tax)

- **Meaning:**

- Tax levied at each stage of value addition in production/distribution.

- **Example:**

- Manufacturer sells goods for ₹100 + VAT 10% = ₹110.
- Wholesaler sells for ₹150 + VAT 10% = ₹165.
- Wholesaler pays tax on value added (₹50) = ₹5, after adjusting input credit (₹10 paid to manufacturer).

- **Key Points:**

- Tax is on value added at each stage of production/distribution.

- **Variants:**

- Gross Product, Income, Consumption (India uses Consumption variant).

- **Methods:**

- Addition, Invoice Credit (used in India), Subtraction.

Rationale for GST

- Eliminate cascading effect, reduce cost of goods/services.
 - Create a unified national market (“One Nation, One Tax”).
 - Simplify tax structure and compliance.
 - Widen tax base and improve revenue efficiency.
 - Ensure seamless input tax credit across goods/services.
 - Enhance transparency and digital governance.
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Value Added Tax (VAT) – Key Points

- VAT is a **multi-point tax system** levied by State Governments at each stage of production/distribution.
 - Tax is charged only on **incremental value** to avoid cascading effect.
 - VAT is a **consumption-based tax**; value addition = selling price – purchase cost.
 - Purchaser can claim **input tax credit (ITC)** by deducting tax paid at earlier stage.
 - Dealers must obtain **VAT registration** to avail ITC.
 - **VAT Rates (earlier system):**
 - 0%: Agricultural goods, socially important items.
 - 1%: Gold & silver jewellery.
 - 4%: Raw materials, inputs for manufacturing, capital goods.
 - 20%: Luxury items.
 - 12.5%: General/normal slab for remaining items.
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GST (Goods and Services Tax) – Key Points

- **GST Overview:**

- A destination-based **value-added tax** on production, sale, and consumption of goods/services.
- Eliminates cascading effect by applying tax only on value added at each stage.

- **Input Tax Credit (ITC):**

- Supplier can set off GST paid on purchases against GST payable on sales.
- End consumer bears the final tax imposed by the last supplier in the chain.

- **Dual GST System (India):**

- **CGST:** Central Government tax on intrastate sales.
- **SGST:** State Government tax on intrastate sales.
- **UTGST:** Tax for Union Territories.
- **IGST:** Integrated tax for interstate supply of goods and services.

- **Indirect Taxes Subsumed by GST:**

- **CGST level:** Excise Duty, Service Tax, Surcharge, Cess.
- **SGST level:** Octroi, Entry Tax, VAT, Luxury Tax, Surcharge, Cess.
- **IGST level:** Central Sales Tax.

- **GST Slabs:**

- 5%, 12%, 18%, 28%.
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Impact of GST on Traders

1. Reduction in multiplicity of taxes
2. Reducing double taxation through input tax credit
3. More efficient neutralisation of taxes especially for exports
4. Development of common national market
5. Simpler tax rules
6. Fewer rates and exemptions
7. Distinction between Goods & Services no longer required

Impact of GST on Consumers

1. Simpler Tax system
 2. Reduction in prices of goods & services due to elimination of repeated taxes
 3. Uniform prices throughout the country
 4. Transparency in taxation system
 5. Increase in employment opportunities
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Sr. No.	Types	Rate of GST	Goods and services items list
I	Zero rated	0%	Goods - Essential Commodities like food grains, fruits, vegetables, milk, salt, earthen pots etc. Services - Charitable trust activities, transport of water, use of roads and bridges, public library, agriculture related services, Education and Health care services etc.
II	Low rated	5%	Goods - Commonly used items- LPG cylinder, Tea, coffee, oil, Honey, Frozen vegetables, spices, sweets etc. Services - Railway transport services, bus transport services, taxi services, Air transport (economy class), Hotels providing food and beverages etc.
III	Standard rated (I slab)	12%	Goods - Consumer goods: Butter, Ghee, Dry fruits, Jam, Jelly, Sauces, Pickles. Mobile phone etc. Services - Printing job work, Guest house, Services related to construction business.
IV	Standard rated (II slab)	18% (Most of the Goods and services are included)	Goods - Marble, Granite, Perfumes, Metal items, Computer, Printer, Monitor, CCTV etc. Services - Courier services, Outdoor catering, Circus, Drama, Cinema, Exhibitions, Currency exchange, Broker Services in share trading etc.
V	Highly rated	28%	Goods - Luxury items, Motor Cycles and spare parts, Luxury cars, Pan-masala, Vacuum cleaner, Dish washer, AC, Washing machine, Fridge, Tobacco products, Aerated water etc. Services - Five star Hotel accommodation Amusement parks, Water parks, Theme parks, Casino, Race course, IPL games, Air transport (business class) etc.
Reference : www.cbec.gov.in (Central Board of Excise & Customs) Besides these rates, find on which goods are the GST rates levied between 0 and 5 ?			

GST Slab Type	Old GST Rate	New GST Rate (2025)	Description
Exempt / NIL	0%	0%	Essential unbranded items, lifesaving drugs, basic education & healthcare
Merit Rate	5%	5%	Packaged essentials, agriculture goods, dairy, basic services
Mid-tier Rate	12%	Merged into 5% or 18%	Previously applied to processed foods, stationery, textiles
Standard Rate	18%	18%	Most goods & services including electronics, professional services
Luxury/Sin Rate	28% + cess	40%	Tobacco, pan masala, aerated drinks, luxury cars, casinos

Ex. (1) Arati Gas Agency supplied LPG cylinder to the consumer for taxable value of ₹ 545. GST charged is 5%. What is the amount of CGST and SGST in the tax invoice ? What is the total amount paid by the consumer ? Find the amount of GST to be paid by Arati Gas Agency.

Solution : Rate of GST = 5% ∴ Rate of CGST 2.5%, and Rate of SGST = 2.5%.

$$\text{CGST} = \frac{2.5}{100} \times 545 = 13.625 = ₹ 13.63$$

$$\therefore \text{SGST} = \text{CGST} = ₹ 13.63$$

$$\begin{aligned} \text{Amount paid by the consumer} &= \text{Taxable value} + \text{CGST} + \text{SGST} \\ &= 545 + 13.63 + 13.63 \\ &= 572.26 \end{aligned}$$

Arati Gas Agency has to pay CGST = ₹ 13.63. and SGST = ₹ 13.63

$$\therefore \text{Total GST to be paid} = 13.63 \times 2 = ₹ 27.26.$$

Input Tax Credit (ITC) – Key Points

- **Definition:**

– ITC is the deduction of **input tax** paid on purchases from **output tax** collected on sales.

- **Process:**

- **Input tax:** GST paid on purchases.
- **Output tax:** GST collected on sales.
- **GST Payable:** Output tax – ITC.

- **In Short:**

- Traders subtract input tax from output tax and pay the difference to the government.
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Who is Covered by GST?

- All businesses (except agriculture) with **aggregate turnover above ₹20 lakh** in a financial year.
- **NRI doing business in India** must register under GST **regardless of turnover**.

Who is Exempted from GST?

- Essential goods: food grains, fruits, vegetables, milk, salt, etc.
 - Essential services: charitable trust activities, transport of water, agriculture-related services, education, healthcare, etc.
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Ex. (1) Mr. Rohit is a retailer. He paid GST of ₹ 6500 at the time of purchase. He collected GST of ₹ 8000 at the time of sale. (i) Find his input tax and out put tax. (ii) What is his Input tax credit ? (iii) Find his payable GST. (iv) Hence find the payable CGST and payable SGST.

Solution : Mr. Rohit's payable GST means, GST to be paid to the government by Mr. Rohit.

(i) Output tax (tax collected at the time of sale) = ₹ 8000.

(ii) Input tax (tax paid at the time of purchase) = ₹ 6500

∴ ITC = ₹ 6500.

(iii) GST payable = Output tax - ITC

= ₹ 8000 - ₹ 6500 = ₹1500

(iv) ∴ payable CGST = $\frac{1500}{2}$ = ₹ 750 and payable SGST = ₹ 750.

Ex. (2) M/s. Jay Chemicals purchased a liquid soap having taxable value ₹ 8000 and sold it to the consumers for the taxable value ₹ 10,000. Rate of GST is 18%. Find the CGST and SGST payable by M/s. Jay Chemicals.

Solution :

Input Tax = 18% of 8000

$$= \frac{18}{100} \times 8000 = ₹ 1440.$$

Output Tax = 18% of 10,000

$$= \frac{18}{100} \times 10000 = ₹ 1800$$

∴ GST payable = Output tax - ITC

$$= 1800 - 1440$$

$$= ₹ 360$$

∴ payable CGST = ₹ 180 and payable SGST = ₹ 180 by M/s. Jay Chemicals

Ex. (3) M/s. Jay Chemicals purchased a liquid soap for ₹ 8000 (with GST) and sold it to the consumers for ₹ 10,000 (with GST). Rate of GST is 18%. Find the amount of CGST and SGST to be paid by Jay Chemicals

Total value (value with GST) = Taxable value + GST

If the taxable value of liquid soap is ₹ 100, then the total value is ₹ 118.

The ratio of $\frac{\text{Total value}}{\text{Taxable Value}}$ is constant as the rate of GST is same.

i) For total value of ₹ 118, the taxable value is ₹ 100 and for total value of ₹ 8000,

let the taxable value be ₹ x .

$$\therefore \frac{x}{8000} = \frac{100}{118}$$

$$\therefore x = \frac{8000}{118} \times 100 = ₹ 6779.66$$

∴ GST paid at the time of purchase = 8000 - 6779.66

$$\text{Input tax} = ₹ 1220.34 \quad \therefore \text{ITC} = ₹ 1220.34 \dots\dots (I)$$

ii) For total value of ₹ 10,000 let the taxable value be ₹ y.

$$\therefore \frac{y}{10000} = \frac{100}{118}$$

$$\therefore y = \frac{10,00,000}{118} = ₹ 8474.58 .$$

$$\begin{aligned}\therefore \text{Output tax (tax collected)} &= 10000.00 - 8474.58 \\ &= ₹1525.42. \dots (II)\end{aligned}$$

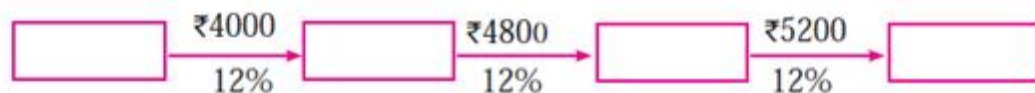
$$\begin{aligned}\therefore \text{GST payable} &= \text{Output tax} - \text{Input tax} = 1525.42 - 1220.34 \\ &= ₹ 305.08.\end{aligned}$$

$$\therefore \text{payable CGST} = \text{payable SGST} = 305.08 \div 2 = ₹152.54$$

Ans. : Jay Chemicals has to pay ₹ 152.54 CGST and ₹152.54 SGST.

Ex. (4) Suppose a manufacturer sold a cycle for a taxable value of ₹ 4000 to the wholesaler. Wholesaler sold it to the retailer for ₹ 4800 (taxable value). Retailer sold it to a customer for ₹ 5200 (taxable value). Rate of GST is 12%. Complete the following activity to find the payable CGST and SGST at each stage of trading.

Solution : Trading chain



$$\text{Output tax of manufacturer} = 12\% \text{ of } 4000 = \boxed{\dots \times \frac{\dots}{\dots}} = \boxed{}$$

$$\text{GST payable by manufacturer} = ₹480$$

$$\text{Output tax of wholesaler} = 12\% \text{ of } 4800 = \boxed{₹ 576}$$

$$\begin{aligned}\therefore \text{GST payable by wholesaler} &= \text{Output tax} - \text{Input tax} \\ &= \boxed{576} - \boxed{480} \\ &= \boxed{₹ 96}\end{aligned}$$

Output tax of retailer = 12% of 5200 =

∴ GST payable by Retailer = Output tax of retailer - ITC of retailer

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Statement of GST payable at each stage of trading

Individual	GST payable	CGST payable	SGST payable
Manufacturer	₹ 480	₹ 240	₹
Wholesaler	₹ 96	₹	₹
Retailer	₹	₹	₹
Total	₹	₹	₹

State Compensation Mechanism in GST

- Designed to ensure **states do not lose revenue** after GST implementation (from 1 July 2017).
 - Before GST, states earned major revenue from **VAT, entry tax, luxury tax**, etc., which were subsumed under GST.
 - To gain state support, Centre guaranteed **no revenue loss for 5 years** (2017–18 to 2021–22).
 - Central Government is **obligated to compensate states** for any GST-related revenue loss during this 5-year period.
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Key Features of State Compensation Mechanism

- **Source of Compensation:**

- Funded through **GST Compensation Cess** on luxury/demerit goods (e.g., cigarettes, aerated drinks, SUVs).

- **Revenue Protection Formula:**

- States assured **14% annual growth** on base year 2015–16 revenue.

- **Projected Revenue** = Base Year Revenue × (1 + 14%)ⁿ

- *n* = number of years since 2015–16.

Compensation Amount under State Compensation Mechanism

- **Calculation:**

- If **Actual GST Revenue < Projected Revenue**, Centre pays the difference.
- **Compensation** = Projected Revenue – Actual Revenue

- **Example:**

- Base Year Revenue (2015–16): ₹10,000 crore
- Projected Revenue (2019–20) = $10,000 \times (1.14)^4 = ₹16,900$ crore
- Actual GST Revenue = ₹15,000 crore
- Compensation Payable = ₹16,900 – ₹15,000 = ₹1,900 crore

- **Duration:**

- 5 years (2017–22)
 - Compensation period ended on **30 June 2022**; no further payments for GST shortfall.
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Post-Compensation Period for GST

- **No More Compensation:**

- States must manage **GST revenue independently**, without central aid for shortfalls.

- **GST Compensation Cess:**

- Still collected **till March 2026**.
- Used to **repay borrowings** by Centre during 2020–21 & 2021–22 (COVID years), not for state compensation.

- **Additional Revenue Sources for States:**

- Excise/VAT on items outside GST (petroleum, alcohol, electricity).
 - Increase **property tax, stamp duty, vehicle tax**, etc.
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Levy and Collection of GST

- **Definition:**

- **Levy:** Imposition of tax by government.
- **Collection:** Gathering tax from businesses/taxpayers.
- **Final burden:** Borne by **end consumer**; GST is consumption-based.

- **Key Provisions:**

- **Taxable event:** Supply of goods/services for consideration.
- **Basis of levy:** Tax on **transaction value** (price paid/payable).

- **Exemptions:** Government can exempt goods/services in public interest.
 - **Composition scheme:** Small taxpayers pay **fixed lower rate** on turnover, simplifying compliance.
 - **Online process:** Registration, return filing, and payments via **GSTN portal** for efficiency and transparency.
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Dual GST Model

- **Overview:**

- India follows a **dual GST system**: both Centre and States levy & collect tax.
- Revenue share depends on **supplier and consumer location**.

- **Intra-state supply (within same state/UT):**

- **CGST:** Levied by Central Government.
- **SGST/UTGST:** Levied by State/Union Territory.
- Example: 18% GST → 9% CGST + 9% SGST.

- **Inter-state supply (between states/UTs):**

- **IGST:** Levied by Central Government.
 - IGST = CGST + SGST rates.
 - Revenue shared with **destination state** where goods/services are consumed.
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Time, Place, and Value of Supply under GST

- **Taxable Event:**

- Event creating tax liability.
- Under GST, taxable event = **supply of goods/services** (Article 366(1A)), excluding alcoholic liquor for human consumption.

- **Time of Supply:**

- Determines **when GST liability arises**.

- **For goods:** Earliest of:

1. Invoice issue date
2. Last date invoice should be issued
3. Receipt of advance/payment

- **Example:** Goods supplied on 20 Jan, invoice on 15 Jan, payment on 31 Jan → time of supply = 15 Jan (earliest relevant date).

- **Reverse Charge Mechanism (RCM):**

- Recipient pays GST directly.

- **For services:** Time of supply = earlier of **date of payment** or **60 days from invoice date**.

- Example: Invoice 1 Feb, payment 1 May → 60 days from invoice = 2 Apr → Time of supply = 2 Apr.

- **For goods:** Time of supply = earlier of **date of payment** or **30 days from invoice date**.

- **Place of Supply:**

- Determines **applicable tax**: IGST or CGST/SGST.

- **Value of Supply:**

- GST is charged on **transaction value**; accurate valuation is crucial to avoid under/overcharging.

Valuation Rules under GST – Summary

1. Supply with consideration not wholly in money:

- Use **Open Market Value (OMV)**.
- If OMV unavailable → consider sum of money + monetary equivalent of non-monetary consideration.
- If still not determinable → value of goods/services of **like kind and quality**.
- If none above → sum of money consideration.

2. Supply between related/distinct persons (not through agent):

- Use **OMV**.
- If OMV unavailable → value of goods/services of **like kind and quality**.
- If still not determinable → apply **Rule 4 or Rule 5** in order.
- If recipient eligible for full ITC → invoice value deemed OMV.

3. Supply through an agent:

- Use **OMV**, or
- Optionally, **90% of price** of supply of like kind/quality to independent customer.

4. Based on cost:

- If value not determinable by above → **110% of cost of production, acquisition, or service provision.**

5. **Residual method:**

- If value cannot be determined by Rules 1–4 → use **reasonable means consistent with GST principles.**
 - For services, supplier may opt for this rule directly, ignoring Rule 4.
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GST Exemption – Summary

1. What is GST Exemption:

- Certain goods or services are **not liable to GST.**
- Businesses below the **annual turnover threshold** are exempt from registration.
 - Rs. 40 lakh for most states (after 2019 revision)
 - Rs. 20 lakh for NE and hill states

2. Types of GST Exemption:

- **Absolute:** No conditions (e.g., services by RBI).
- **Conditional:** Exemptions with conditions (e.g., hotel accommodation < Rs.1000/day).
- **Partial:** Exemption under reverse charge for unregistered suppliers if daily supply ≤ Rs.5000.

3. GST Exemption from Registration:

- Individuals below threshold limit.
- Exempt suppliers of goods/services.
- Suppliers of non-GST goods/services.
- Taxpayers not engaged in supply of goods/services.
- Agriculturists.
- Suppliers of goods under reverse charge.

4. Exempted Goods under GST:

- Fresh/dry vegetables (potatoes, onions, legumes).
- Fish, eggs, fresh milk.

- Unprocessed fruits (grapes, melons), spices (ginger, garlic), green tea leaves.
- Unbranded food items (rice, cereals, wheat, corn).
- Human blood, unspun jute, raw silk, khadi fibre.
- Hearing aid parts, chalk, slates, handloom products.

5. Exempted Services under GST:

- Agricultural services (harvesting, packaging, leasing machinery, etc.), excluding horse rearing.
 - Public transport (auto-rickshaw, metro, metered cabs).
 - Transportation of agricultural products/export goods.
 - Labour supply for farms.
 - Goods transport charges < Rs.1500.
 - Retail packing, pre-conditioning services.
 - Foreign diplomatic/government services.
 - Healthcare & education (mid-day meals, paramedics, charity, ambulance).
 - Services by RBI, IRDAI, Central/State Government, NPS.
 - Banking services under PMJDY (BSBD accounts).
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GST Exemption – Reasons and Small Business Benefits

1. Reasons for GST Exemption:

- Based on **recommendations by the GST Council**.
- If the **government deems the exemption beneficial** for public welfare.
- **Exceptional or unforeseen circumstances** where special orders are issued.
- Via **official notification**, allowing certain goods/services full exemption.

2. GST Exemption for Start-ups and Small Businesses:

- Businesses with **turnover < Rs. 40 lakhs** are GST-exempt.
- Businesses with **turnover < Rs. 1.5 crore** can opt for **Composition Scheme** (tax at fixed rate 1–6%).
- Small businesses are **exempt from e-invoicing** (mandatory only for turnover > Rs. 50 crores).
- Businesses with income < Rs. 5 crores can **file returns quarterly**.

3. GST Composition Scheme:

- Designed for **small taxpayers** to pay GST at a **fixed rate on turnover** (turnover limit Rs. 1.5 crore).

Conditions for Availing Composition Scheme

- No Input Tax Credit (ITC) can be claimed.
- Cannot supply goods not taxable under GST (e.g., alcohol).
- Pay tax at normal rates for Reverse Charge Mechanism (RCM) transactions.
- All business segments under same PAN must register collectively or opt out.
- Display “Composition Taxable Person” on noticeboards/signboards.
- Mention “Composition Taxable Person” on every bill of supply.
- Service supply allowed up to 10% of turnover or Rs.5 lakhs, whichever is higher.

Advantages of Composition Scheme

- Lesser compliance (returns, record-keeping, invoices).
- Limited tax liability.
- High liquidity due to lower tax rate.

Disadvantages of Composition Scheme

- Limited territory; inter-state supplies not allowed.
- No Input Tax Credit available.
- Cannot supply non-taxable goods or through e-commerce.